



Oct 21, 2022

Federal Maritime Commission
800 North Capitol Street, NW
Washington, DC 20573

Docket No. 22-24 Definition of Unreasonable Refusal to Deal or Negotiate with Respect to Vessel Space Accommodations Provided by an Ocean Common Carrier

Dear Secretary William Cody:

BassTech International is a New Jersey-based firm that has operated in the import, export and distribution of chemical products and other raw materials since 1994. Reliable access to ocean carriage is fundamental to our business and we are grateful for the recent passage of the Ocean Shipping Reform Act of 2022. We commend the Federal Maritime Commission in their work to implement OSRA 2022 including the issuance of this Notice of Proposed Rulemaking. We appreciate the opportunity to share our views regarding this Docket 22-24, *Definition of Unreasonable Refusal to Deal or Negotiate with Respect to Vessel Space Accommodations Provided by an Ocean Common Carrier* and we offer as follows here for the Commission's consideration.

Elements

We concur with the Commission's proposal as stated, that "1) the respondent is a [ocean] common carrier under FMC jurisdiction; 2) the respondent refuses to deal or negotiate [with respect to vessel space accommodations]; and 3) that the refusal is unreasonable."

Definitions

In complying with the mandate to define "unreasonable refusal to deal or negotiate with respect to vessel space under section 41104(a)(10) of title 46, as amended" by the Ocean Shipping Reform Act of 2022, the Commission wisely seeks to define three terms: "vessel space accommodations", "refusal to deal or negotiate" and "reasonable".

We agree with the proposed definition of "vessel space accommodations" as "space provided aboard a vessel of an ocean common carrier for laden containers being imported to, or exported from, the United States". We request that this definition is acknowledged to implicitly encompass practical access to the "space provided" including but not limited to communication regarding that access (such as the timely sharing of a comprehensive booking confirmation), reasonable timelines and practices surrounding cargo receiving dates, the provision of the requisite equipment (ocean containers) for the utilization of that space and diligence in loading received cargo to the booked vessel voyage.

To secure vessel space accommodations, a shipper engages with an ocean common carrier by placing a request for a booking. Prerequisite to such a request is a shipper's identification of a prevailing rate for the movement required, which comes in the form of either identifying the existence of a rate in the shipper's Service Contract, if they have one with the carrier, or in the carrier's ocean freight tariff, if a legitimate rate is published and available, or by requesting a rate from the ocean common carrier for the requested move. Under the practices that have prevailed for years – perhaps decades, since OSRA 1998 – ocean common carrier publication of a working ocean freight tariff has been essentially discontinued, therefore, the two realistic options that remain are either use of an existing Service Contract rate or placing a request for a rate

400 Kelbyville Road
Fort Lee, NJ 07024

Phone: +1 201.569.8686
Fax: +1 201.569.7511

www.basstechintl.com

The Service Contract rate option is quite transparent and processes exist whereby a shipper, upon requesting a booking, will make reference to the Service Contract as evidence of valid rate coverage. On one hand, it can be said that the “negotiation” for carriage was already accomplished when the Service Contract was signed and filed. On the other hand, in our own experience and as supported by the comments from many shippers over the past two years who were challenged in securing vessel space from their contracted carriers, it was clear that having a valid rate and a contract commitment did not preclude carriers, in some instances, from refusing to accept booking requests, or “refusing to deal” with shippers at the cargo booking stage. There is no doubt that during those days of unprecedented demand for ocean carriage, shippers understood to plan additional lead time for gaining access to space on a voyage but planning and patience alone proved insufficient as carriers failed for extensive periods of time to provide vessel space accommodations and typically with no transparency or explanation that would support these refusals as “reasonable”. Any definition of “refusal to deal or negotiate” must consider the transactional activities of shipper requests for individual cargo bookings and the ocean common carriers’ responses to those requests.

For a shipper who does not have a Service Contract with the carrier, or if their existing Service Contract does not have coverage for the specific move of interest, the shipper is compelled to request, or “negotiate”, for that rate coverage as a first step in the process of securing vessel space accommodations. (The means for requesting a rate vary widely but, in general, it can be said that whether by telephone, email or through the carriers’ on-line systems, the majority if not all of which require a comprehensive user registration process, the ocean common carrier has access to full details of the requestor and their company status and information, including any shipping history and indicative volume information. This is noteworthy when considering what factors are “reasonable” in a carrier’s decision to provide vessel space accommodations.) While we find the Commission’s statement that “an ocean common carrier does not have a duty to grant a contract to every potential party” to be true, we believe it is also true that an ocean common carrier shall not prevent a shipper without a Service Contract from having direct access to ocean common carriage. In this respect, therefore, a carrier’s refusal or failure to provide a timely and “reasonable” rate quotation for the purpose of facilitating access to vessel space accommodations must be seen as a violation of 46 U.S.C. 41104(a)(10).

In summary, while there may be case-by-case specifics, it is quite clear that an ocean common carrier that fails to reasonably provide a rate or accept a request for a booking, has “refused to deal or negotiate... with respect to vessel space accommodations”. Once a carrier has accomplished provision of a rate and confirmation of a booking, the ocean common carrier must also support these actions through reasonable processes and practices that do not otherwise obstruct access to those vessel space accommodations. Without demonstrated good-faith practices supporting the process to “deal or negotiate” reasonably, the provision of a booking for vessel space accommodations is meritless.

As the Commission points out, a refusal “is only a violation if it is unreasonable” and therefore it is of great importance that defining “reasonableness” is included in the proposed rulemaking. The Commission has alluded to reasonable decisions by a carrier as those “connected to a legitimate business decision or motivated by legitimate transportation factors.”

Recalling that any rate establishment as may be needed for access to vessel space will necessarily reveal to the carrier many facts about the shipper, it is excellent to see that the Commission expresses that “transportation-related factors” do not relate to “the status of the shipper”. As status can mean whether that shipper meets any number of categories, such as if they are an existing Service Contract shipper with the carrier, whether they purchase additional value-added services such as customs brokerage from the carrier, what volumes they ship on annual basis, whether their overall shipping activity is in particular tradelanes of interest to the carrier, whether they have been involved in any formal complaints against any carriers, whether they have been involved in any billing disputes with the carrier and so on. Putting aside any

suggestion of retaliation, which is already defined in the Shipping Act as discriminatory, carriers have the ability to evaluate the overall attractiveness of a given shipper's business when making decisions about vessel space accommodations for any specific rate and booking request. The Commission's proposal is good to exclude "the status of the shipper" from "transportation-related factors" but it is not clear that this is also excluded from "legitimate business decisions"; we believe that it must be. Without this qualification, a carrier may "legitimately" decide to exclude, for example, all shippers who are not existing Service Contract holders, or who ship less than a certain threshold of cargo annually, or who do not intend to purchase supplemental logistical services beyond ocean freight from the carrier, or any number of other categories of shippers whose potential business is less compatible with the carrier's uniquely designed business development strategies. Allowing "legitimate business decisions" as a qualifier of "reasonable" serves to place the objectives of individual carriers' businesses above the needs of the US shipping public, great portions of which may end up at risk of a complete lack of access to ocean common carriage. For this and other reasons, we find that a "legitimate business decision" must not factor into the determination of "reasonableness" in this context.

On the other hand, it is possible to see where certain "transportation-related factors" may "reasonably" prevent a carrier from providing vessel space accommodations. For example, if service is requested to or from a port that the carrier does not serve, or if the carrier or their vessel is not capable of handling the nature of the cargo being offered. However, commercially driven selectivity of cargo – such as the refusal of properly tendered regulated (hazardous) cargo, or ocean containers loaded within safe and legal weight limitations but over an artificially imposed weight limit, or cargo originating from or destined to hinterland points that are generally serviceable – should be considered an unreasonable refusal to deal. We have seen that these exact examples came to life when, in our own experience and as many shippers voiced complaints, during the height of shipping demand, carriers declined to accept bookings for hazardous cargo that had historically moved without issue; carriers declined booking requests for shipments of vital raw materials to the USA because the cargo weight exceeded newly imposed maximum weights per container (some as low as 10MT) as the carriers tried to maximize their TEU and revenue numbers; and when carriers stepped away from servicing US agricultural exports because of the distance and equipment usage time required to service that business. Therefore, it is imperative that "transportation-related factors" be defined to ensure that broad categories of cargo are not unjustly discriminated against and prevented from accessing vessel space accommodations, potentially damaging numerous US businesses or even entire industries.

Again, we agree with the Commission's statement that "an ocean common carrier does not have a duty to grant a contract to every potential party" and we recognize that since the introduction of confidential individual Service Contracts, there is no standard "me-too" provision establishing equity under contracts for similarly situated shippers. Beyond that, however, reliable and equitable access to ocean common carriage by the US shipping public must be protected. Permitting consideration of concepts such as an individual carrier's "profitability" or "business development strategy" will necessarily place the shipping industry's criteria above the needs of the shipping public and will not exclude the opportunity for "unfair or unjustly discriminatory" practices. We strongly believe that a carrier's "profitability" or "business development strategy" must not be permissible as a measure of "reasonableness" in a carrier's "refusal to deal or negotiate with respect to vessel space accommodations".

Shifting burden from complainant to ocean common carrier

We strongly support the Commission's proposal that assigns a burden of proof to the ocean common carrier "to show or justify why its refusal was reasonable" because only the carrier will be able to explain the background to their decision.

The proposed "mechanism for an ocean common carrier to justify its actions through means of a certification" documenting the various facts of the case is welcome to the extent that it may help to ensure

that the complaint receives the appropriate attention within the carrier's organization. Whether in a certified statement as proposed or not, we agree that the carrier must remain responsible to present their evidence to "document the ocean common carrier's decision in a specific matter, the good faith consideration of an entity's proposal or request to negotiate, and the specific criteria considered by the ocean common carrier to reach its decision" if they intend to refute any complaint raised regarding an unreasonable "refusal to deal or negotiate with respect to vessel space accommodations". This documentation must then be subject to any standard independent review process for accuracy and validity as would any other statements during any review of the facts of the case.

Conclusion

Thank you for considering our comments on this important rulemaking and for your continued work to assist US businesses that rely on the international ocean transportation supply system.

Sincerely,

A handwritten signature in blue ink, appearing to read "Lori Fellmer", with a stylized flourish at the end.

Lori Fellmer
Vice President Logistics and Carrier Management
BassTech International